

INTERNAL MEMO — CONFIDENTIAL

Subject: Vendor consolidation decision

We recommend consolidating from four vendors to two.

Projected annual savings: 1.2M USD.

Primary risk: single-vendor dependency for logistics.

## Page 2 — Options considered

Option A: keep all four vendors (status quo).

Option B: consolidate to two (recommended).

Option C: single vendor (rejected, too risky).

## Page 3 — Next steps

Legal review of termination clauses by Q3.

Renegotiate volume pricing with remaining vendors.

Communicate transition plan to affected teams.